

Price	Buy Option 460PE	Sell Option 550PE
Price > ₹600	✗ Exercised	✗ Exercised
Price = ₹500	✗ Exercised	✓ Exercised
Price < ₹460	✓ Exercised	✓ Exercised



MAXIMUM LOSS = Difference in Strike prices - Net Premium
 $= (\text{₹}550 - \text{₹}460) - \text{₹}15$
 $= \text{₹}75$



BREAK EVEN POINT = Strike price of short put – Net premium
 $= \text{₹}550 - \text{₹}15$
 $= \text{₹}535$

If the price is above ₹550, we will be making profits. As we reach ₹535, we hit the break-even point. At prices below ₹535, we will start incurring losses. But our losses will also be limited to ₹75.



NET INFLOW/MAXIMUM PROFIT = Net premium
 $= \text{₹}30 - \text{₹}15$
 $= \text{₹}15 \text{ per share}$

With this we have understood all kinds of Spread strategies. We can make it even more complicated by increasing number of option contracts involved. You can experiment with different strike prices and difference in the strike prices and work on creating trading strategies on your own. Next, we will move on to understand Strangle.